MODULE I

MEANING AND SCOPE OF PUBLIC FINANCE

Meaning and Scope of Public Finance. Public Finance—Meaning and Scope-Public and Private finance- principles of Maximum Social Advantage—Public Goods, Private Goods, Mixed Goods and Merit Goods (Concepts Only)

Public finance is a field of economics concerned with how a government raises money, how that money is spent and the effects of these activities on the economy and society. It studies how governments at all levels—national, state and local—provide the public with desired services and how they secure the financial resources to pay for these services.

Public finance deals with the finances of public bodies – national, State or Local – for the performance of their functions. The performance of these functions leads to expenditure. The expenditure is incurred from funds raised through taxes, fees, sale of goods and services and loans. The different sources constitute the revenue of the public authorities. Public finance studies the manner in which revenue is raised; the expenditure is incurred upon different items etc. Thus, public finance deals with the income and expenditure of public authorities and principles, problems and policies relating to these matters. We can analyse some important definitions of public finance given by some leading authorities in public finance.

Economists	Publication	Definition
Charles F. Bastable	Public Finance – 1892	For all States – whether crude or highly developed – some provisions of the kind are necessary and there for supply and application of state resources constitute the subject matter of a study which is best entitled in English as Public Finance
Dalton	Principles of Public Finance- 1922	One of those subjects which lies on the border line between Economics and Politics. It is concerned with the income and expenditure of public authorities and with the adjustment of one to the other
Harold Groves	—	A field of enquiry that treats the income and out goes of governments –federal, state, and local
PE. Taylor	The Economics of public finance	Public Finance is the fiscal science its policies are fiscal policies, its problems are fiscal problems

Mrs. Ursula Hicks	Public Finance	The main content of Public Finance consists of the examination and appraisal of the methods by which governing bodies provide for the collective satisfaction of wants and secure the necessary funds to carry out this purpose
CS Shoup	—	The discipline of Public Finance describes and analyses the government services, subsidies and welfare payments and methods by which the expenditure to these ends are covered through taxation, borrowing, foreign aid and creation of new money

According to Professor Hugh Dalton,the term 'Public authorities' refers to the Government or State at all levels –National, State, and Local.

Harold Groves' definition outlines the types of governments whose finances are studied in Public finance.

According to Taylor, public finance studies the manner in which the state through its organ, the government, raises and spends the resources required. Public Finance is thus concerned with the operation and policies of the fisc - The State treasury.

The definition of public Finance by Mrs.Ursla Hicks highlights the satisfaction of collective wants which in turn leads to the need to secure necessary resources.

The definition of CS Shoup enlarges the scope of Public Finance for modern governments to include different types of expenditure and different sources of revenue.

All the definitions stated above illustrate the scope of Public Finance. From these definitions, we can conclude that Public Finance is an enquiry into the facts, techniques, principles, theories, rules and policies which shape, direct, influence and govern the use of scarce resources, with alternative uses, of the government.

IMPORTANCE OF PUBLIC FINANCE

1) Provision of public goods: -For providing public goods like roads, military services and street lightsetc. public finance is needed. Business firms will have no incentive to produce such goods, as they get no payment from private individuals.

2) Public finance enables governments to tackle or offset undesirable side effects of a market economy. The side effects are called spill overs or externalities. For example, pollution. The governments can introduce recycling programmes to lessen pollution or they can make laws to restrict pollution or impose pollution charges or taxes on activities that bring about pollution.

3) Public finance helps governments to redistribute income. To reduce the inequality in the economy, the governments can impose taxes on the richer people and provide goods and services for the needy ones.

4) Public finance provides many a programme for moderating the incomes of the rich and the poor. Such programmes include social security, welfare and other social programmes.

5) The acceptance of the principle of welfare state, the role of public finance has been increasing. Modern governments are no more police states as the classical economists viewed.

6) As the scope of state participation in the economic activity is widening, the scope of public finance has also been increasing. Generation of employment opportunities, control of economic fluctuations like boom and depression, maintaining economic stability etc. are some of the thrust areas of the governments through fiscal operations.

SUBJECT MATTERS OF PUBLIC FINANCE

The subject matters of Public Finance can be broadly classified in to five categories –a) Public revenue b) Public expenditure c) Public debt d) Financial administration e) Economic stabilization and f) Federal Finance.

Public Revenue:

The income of the states is referred to as Public Revenue. In this branch, we study the various ways of raising revenue by the public bodies. We also study the principles and effects of taxation and how the burden of taxation is shared among the various classes of society etc.

Public Expenditure

It deals with the principles and problems relating to the allocation of public spending. We study the fundamental principles governing the flow of public funds in to different channels, classification and justification of public expenditure; expenditure policies of governments and the measures adopted for welfare state etc.

Public Debt

The governments borrow when its revenue falls short of its expenditure.Public debts is a study of various principles and methods of raising debts and their economic effects. It also deals with the methods of repayments and managements of public debts.

Financial Administration

It deals with the methods of Budget preparation, various types of Budgets, war Finance, Development Finance etc. Thus, financial administration refers to the mechanism by which the financial functions are carried on. In other words, financial administration studies the organizing and disbursing of the finances of the State.

Economic stabilization and Growth

The use of Public revenue and Public expenditure to secure stability in levels of prices by controlling inflationary as well as deflationary pressures is studied. Similarly the income and expenditure policies adopted by the government so as to attain full employment, optimum use of resources, equitable distribution of income etc. are also studied.

FEDERAL FINANCE

Under federal finance we study the principles and policies governing the distribution of functions and funds among the public authorities in a federal set up. In a federal set up there are different levels of governments-centre, state and local.

Public Finance and Private Finance

The understanding and the study of public finance is facilitated by a comparison of the public or government finance with private or individual finance. Such a comparison will help us to know how the aims and objectives and methods of public Finance operation are similar or differed from the financial operations of the individual.

Similarities

1. Both the State as well as individual aim at the satisfaction of human wants through their financial operations. The individuals spend their income to satisfy their personal wants whereas the state spends for the satisfaction of communal or social wants.

2. Both the States and Individual at times have to depend on borrowing, when their expenditures are greater than incomes

3. Both Public Finance and Private Finance have income and expenditure. The ultimate aim of both is to balance their income and expenditure.

4. For both kinds of finances, the guiding principle is rationality. Rationality is in the sense that maximization of personal benefits and social benefits through corresponding expenditure.

5. Both are concerned with the problem of economic choice, that is, they try to satisfy unlimited ends with scarce resources having alternative uses.

Dissimilarities

1. The private individual has to adjust his expenditure to his income. i.e., his expenditure is being determined by his income. But on the other hand the government first determines its expenditure and then the ways and means to raise the necessary revenue to meet the expenditure.

2. The government has large sources of revenue than private individuals. Thus at the time of financial difficulties the state can raise internal loans from its citizens as well as external loans from foreign countries. In the case of private individual, all borrowings are external in nature.

3. The state, when hard pressed, can resort to printing of currency, as an additional source of revenue. In fact, during emergencies like war, it meets its increased financial obligations by printing new currency. But an individual cannot raise income by creating money.

4. The state prepares its budget or estimates its income and expenditure annually. But there is no such limitation for an individual. It may be for weekly, monthly, or annually.

5. A surplus budget is always good for a private individual. But surplus budgets may not be good for the government. It implies two things. a) The government is levying more taxes on the people than is necessary and b) the government is not spending as much as the welfare of the people as it should.

6. The individual and state also differ in their motives regarding expenditure. The individuals hanker after profit. Their business operations are guided by private profit motive. But the states expenditure is guided by the welfare motive.

7. The private individual spends his income on various items in such a manner as to secure equi-marginal utilities from them. The government on the contrary does not give as much importance to this law as a private individual does. Modern government sometimes incur cretin types of expenditure from which there do not derive any advantage but they do incur this expenditure to satisfy cretin sections of the community.

8. Individuals always seek quick returns they save only a small amount for future and spend more to satisfy their current needs. Individual tend to think more on present as they are dead in the long run.Similarly they seldom spend if it does not yield any money income. On the other hand, State has a long term perspective of its expenditure. It does not care only for immediate benefit. State spends on projects having long gestation period. The burden of taxation is borne by the present generation in the interest of long run welfare of the community. Similarly sometimes government may have to spend on schemes which may not yield any money income at all (e.g. Public Health).

9. An individual's spending policy has very little impact on the society as a whole. But the state can change the nature of an economy through its fiscal policies.

10. The pattern of expenditure in the case of private finance is often influence by customs, habits social status etc. The pattern of government expenditures is guided by the general economic policy followed by the government.

11. Private Finance is always a secret affair. Individual need not reveal their financial transactions to anyone except for filing tax returns. But Public Finance is an open affair. Government budget is widely discussed in the parliament and out sides. Public accountability is an important feature of public finance.

12. Individuals can plan to postpone their private expenditure. But the state cannot afford to put off vital expenditure like defence, famine relief etc. Findlay Shiraz says that compulsory character is an important future of public finance.

Major Fiscal Functions

According to Professor Musgrave there are three major fiscal or budgetary functions of the governments. They are a) Allocation functions b) Distribution functions and c) Stabilization functions.

THE ALLOCATION FUNCTION

There are certain cases in which the wants of all individuals cannot be satisfied through market mechanism. In such cases the public sector or the governments have to provide goods and services. The allocation branch of public finance deals with the provision of social goods. Social goods are those goods and services produced to satisfy collective wants. Collective wants are those wants which are demanded by all members of the community in equal or more or less equal amounts. The allocation branch explains the process by which the resources in use are divided between private goods and social goods by which the mix of social good is chosen.

THE DISTRIBUTION FUNCTION

The very important feature of a market economy is the disparity in the distribution of income and wealth. The distribution function of public finance deals with the adjustment of the distribution of wealth and income to ensure "fair or just" state of distribution. That is, the distribution function of public finance deals with the determination of taxes and transfer payments policies of the governments.

THE STABILIZATION FUNCTION

The stabilization function explains the macroeconomic aspect of budgetary policy. In other words, the stabilization function deals with the use of budgetary policy as a means of maintaining high employment, a reasonable degree of price stability and an appropriate rate of economic growth, with allowances for effects on trade and balance of payments. The major instruments of stabilization policy are monetary policy and fiscal policy. This function is otherwise known as compensatory finance.

THE PRINCIPLE OF MAXIMUM SOCIAL ADVANTAGE One of the important principles of public finance is the so – calledPrinciple of Maximum Social Advantage explained by Professor Hugh Dalton. Just like an individual seeks to maximize his satisfaction or welfare by the use of his resources, the state ought to maximize social advantage or benefit from the resources at its command.

The principles of maximum social advantage are applied to determine whether the tax or the expenditure has proved to be of the optimum benefit. Hence, the principle is called the principle of public finance. According to Dalton, "This (Principle) lies at the very root of public finance"

He again says "The best system of public finance is that which secures the maximum social advantage from the operations which it conducts." It may be also called the principle of maximum social benefit. A.C. Pigou has called it the principle of maximum aggregate welfare.

Public expenditure creates utility for those people on whom the amount is spent. When the volume of expenditure is small with a slighter increase in it, the additional utility is very high. As the total public expenditure goes on increasing in course of time, the law of diminishing marginal utility operates. People derive less of satisfaction from additional unit of public expenditure as the government spends more and more. That is, after a stage, every increase in public expenditure creates less and less benefit for the people. Taxation, on the other hand, imposes burden on the people. So, when the volume of taxation becomes high, every further increase in taxation increases the burden of it more and more. People under go greater scarifies for every additional unit of taxation. The best policy of the government is to balance both sides of fiscal operations by comparing "the burden of tax" and "the benefits of public expenditure". The State should balance the social burden of taxation and social benefits of Public expenditure in order to have maximum social advantage.

The curves MSS and MSB show the marginal social scarifies of taxation and marginal social benefit of public expenditure respectively. MSS curve slopes up words since taxation increases marginal social sacrifices. MSB curves slopes down wards showing that public benefit goes on declining with every increase in public expenditure. The ideal point of financial operations is where the governments collect OM taxation from the society and uses it for public expenditure. At this point , MSS is exactly equal to MSB (Point E) at OM 1 , MSS is M1 F1 which is less than MSB (M1 , E1) thus depicting a loss of welfare to the society (E1 F1). Similarly, the government is collecting OM2 taxation to finance larger public expenditure; The MSS is higher than MSB by E2 F2. So the ideal level of taxation and expenditure is at OM. According to Dalton "Public expenditure in every direction, should be carried just so far that the advantage to the community of a further small increase in any direction is just counter balanced by the disadvantage of a corresponding increase in taxation or in receipts from any other source of public income. This gives the ideal public expenditure and income".

CATEGORIES OF GOODS

PUBLIC GOODS

The indivisible goods, whose benefits cannot be priced, and therefore, to which the principle of exclusion does not apply are called public goods. The use of such goods by one individual does not reduce their availability to other individuals. For example, the national defence.

Characteristics of Public goods

1) **Non-rival in consumption:** - One person's consumption does not diminish the amount available to others. Once produced, public goods are available to all in equal amount. **Marginal cost of providing the public goods to additional consumers is ZERO.**

2) **Non-excludable:-** Once a public good is produced, the suppliers cannot easily deny it to those who fail to pay. That is, those who cannot (or do not agree to) pay its market price are not debarred or excluded from its use.

3) **Free-rider problem:** - People can enjoy the benefits of public goods whether pay for them or not, they are usually unwilling to pay for public goods. This act is the so-called free-rider problem.

PRIVATE GOODS

Private goods refer to all those goods and services consumed by private individuals to satisfy their wants. For example, food, clothing, car etc.

MODULE II

PUBLIC EXPENDITURE

PUBLIC EXPENDITURE--Meaning and Importance-Reasons for Growth of Public Expenditure-Wagner's Hypothesis, Peacock--Wiseman Hypothesis-Canons of Public expenditure-Effects of Public Expenditure.

Public Expenditure: Meaning and Importance

The expenses incurred by the governments for its own maintenance, preservation and welfare of the economy as a whole is referred to as public expenditure. In other words, it refers to the expenses of public authorities-central, state and local governments in a federation-for the satisfaction of collective needs of the citizens or for promotion of economic and social welfare. The development functions include education, public health, social security, irrigation, canal, drainage, roads, buildings, etc. The major cause of increase in the public expenditure is nothing but, these developmental functions. Hence, the study of public expenditure has become very significant in the study of public finance.

The two major reasons for the same are: a) the economic activities of the state has increased manifold and b) nature and volume of public expenditure have greatly affected the economic life of the country in a different manner. i.e., it has affected production and distribution and general level of economic activities.

In the laissez-faire era the state was assigned a very limited role to play. The functions assigned to the state where based on the principle of least interference or **'that government is the best which spends the least.'** According to the classical school led by Adam Smith restricted the functions of the state to **'Justice, Police and Arms.'** They considered government expenditure wasteful and that money could be used much well by private persons than by the government. Adam Smith in his magnum opus **'TheWealth of Nations'** published **in 1776** observed that the sovereign has three main duties to perform as a) to protect the society from violence and invasion of other independent societies b) to protect against injustice and c) erecting and maintaining certain public works.

According to David Ricardo, **'If you want a peaceful government you must reduce the budget'**. JB Say opined that **'the very system of all plans of finance is to spend little and the best of all taxes is that which is least in amount'.**

In recent time, public expenditure has been increased enormously. The main reason is that the functions of governments have been increased manifold. The modern states are no more police states but welfare states. Adolph Wagner, a German economist, presented his famous **'Law of Increase of State Activities.'** He states that 'comprehensive comparison of different countries and different times show that among progressive people with which alone we are concerned, an increase regularly takes place in the activity of both central and local governments.' This increase is both intensive and extensive.

Prof. RA Musgrave, the twentieth century economist, advocated public expenditure since a government is forced to do many activities such as 1) activities to secure a reallocation of resources 2) redistribution activities, 3) stabilizing activities and 4) commercial activities.

Governments constantly undertake new functions while they perform both old and new functions more efficiently and completely. In this way the economic needs of the people, to an increasing extent and in a satisfactory fashion are satisfied by the central and local governments.

Causes for the Increase in Public Expenditure:

One of the most important features of the present century is the phenomenal growth of public expenditure. Some of the important reasons for the growth of public expenditure are the following.

1) **Welfare state**: Modern states are no more police states. They have to look in to the welfare of the masses for which the state has to perform a number of functions. They have to create and undertake employment opportunities, social security measures and other welfare activities. All these require enormous expenditure.

2) **Defence expenditure**: Modern warfare is very expensive. Wars and possibilities of wars have forced the nation to be always equipped with arms. This causes great amount of public expenditure.

3) **Growth of democracy**: The form of democratic government is highly expensive. Theconduct of elections, maintenance of democratic institutions like legislatures etc. cause great expenditure.

4) **Growth of population**: tremendous growth of population necessitates enormous spending on the part of the modern governments. For meeting the needs of the growing population more educational institutions, food materials, hospitals, roads and other amenities of life are to be provided.

5) **Rise in price level**: Rises in prices have considerably enhanced public expenditure in recent years. Higher prices mean higher spending on the part of the govt. on items like payment of salaries, purchase of goods and services and so on.

6) **Expansion public sector**: Counties aiming at socialistic pattern of society have to give more importance to public sector. Consequent development of public sector enhances public expenditure.

7) **Development expenditure**: for implementing developmental programs like Five Year Plans, Modern governments are incurring huge expenditure.

8) **Public debt**: Along with debt rises the problem like payment of interest and repayment of the principal amount. This results in an increase in public expenditure.

9) **Grants and loans to state governments and UTs**: It is an important feature of public expenditure of the central government of India. The government provides assistance in the forms of grants-in-aid and loans to the states and to the UTs.

10) **Poverty alleviation programs**: As poverty ratio is high, huge amount of expenditure is required for implementing alleviation programmes.

Classification of public expenditure:

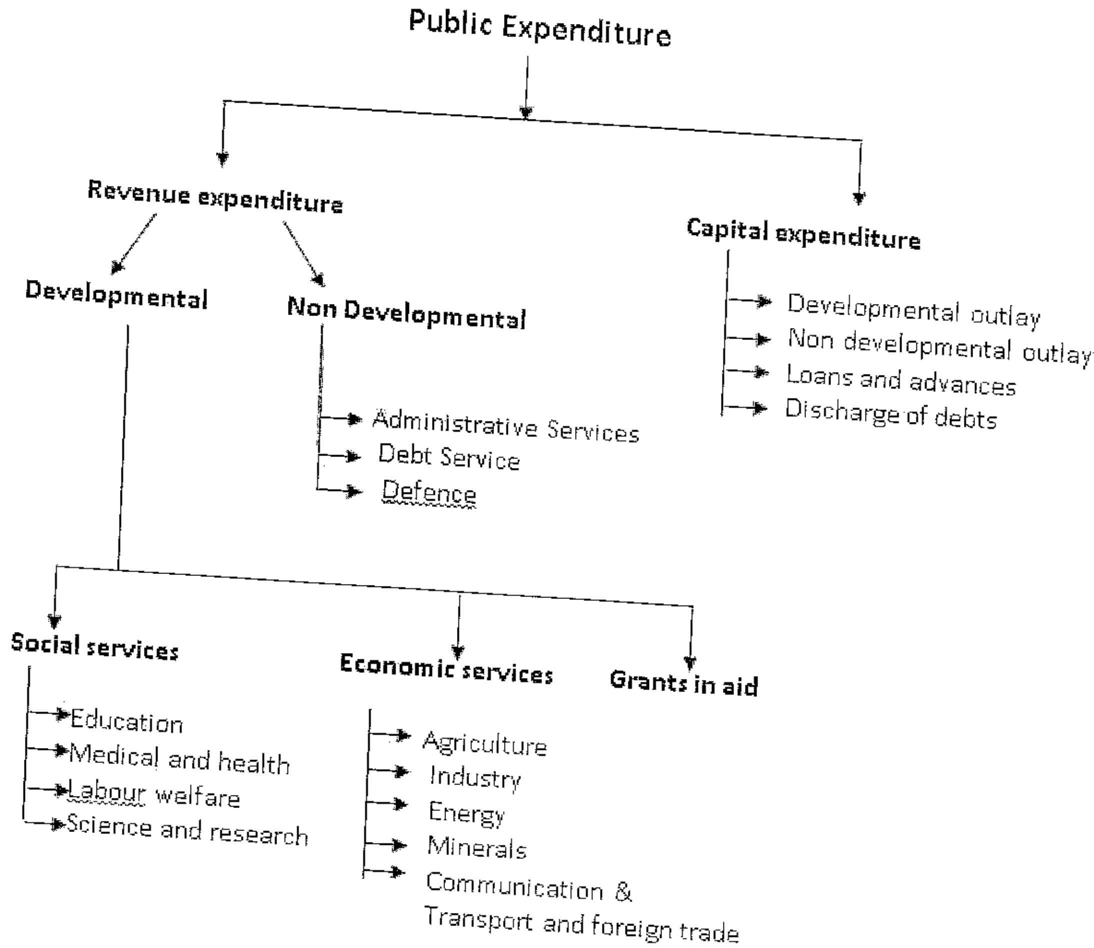
Public expenditure has been classified in to a) **Revenue expenditure** and b) **Capital expenditure.** Revenue expenditure is current expenditure. For example, it includes administrative expenditure and maintenance expenditure. This expenditure is of a recurring type. Capital expenditure is of capital nature and is incurred once for all. It is non-recurring expenditure. For example, expenditure in building, multi-purpose projects or on setting up big factories like steel plants, money spent on land, machinery and equipment.

Revenue Budget or Revenue Account is related to current financial transactions of the government which are of recurring in nature. Revenue Budget consists of the revenue receipts of the government and the expenditure is met from this revenues.Revenue Account deals with Taxes, duties, fees, fines and penalties, revenue from Government estates, receipts from Government commercial concerns and other miscellaneous items, and the expenditure therefrom.

Revenue Receipts include receipts from taxation, profits of enterprise, other non-tax receipts like administrative revenue (fees, fines, special assessment etc.), gifts grants etc. Revenue expenditure includes interest-payments, defense expenditure, major subsidies, pensions etc.

The Capital Account is related to the acquisition and disposal of capital assets. Capital budget is a statement of estimated capital receipts and payments of the government over fiscal year. It consists of capital receipts and capital expenditure. The capital account deals with expenditure usually met from borrowed funds with the object of increasing concrete assets of a material character or of reducing recurring liabilities such as construction of buildings, irrigation projects etc.

Capital Receipts include a) Borrowings b) Recovery of loans and advances c) Disinvestments and d) Small savings. Capital Expenditure includes a) Developmental Outlay b) Non-developmental outlay c) Loans and advances and d) Discharge of debts. This can be explained as follows:



Theories of growth of public expenditure

As we know in modern times all the countries of the world have witnessed an enormous increase in public expenditure. The three important theories of the growth public expenditure are the following:

MODULE III

PUBLIC REVENUE

PUBLIC REVENUE ---Sources of Public Revenue-Taxes-Classification of Taxes-Canons of Taxation-Principles of Taxation: Ability, Benefit and Cost of Service-Impact, Incidence and Shifting of Tax Burden-Effects of Taxation-Major Taxes in India-Value Added Tax in India, The Concept of Good and Services Tax(GST)

PUBLIC REVENUE

In the last module we have seen that in recent time, public expenditure has been increased enormously. The main reason is that the functions of governments have been increased manifold. The modern states are no more police states but welfare states. Adolph Wagner, a German economist presented his famous 'Law of Increase of State Activities.' He states that 'comprehensive comparison of different countries and different times show that among progressive people with which alone we are concerned, an increase regularly takes place in the activity of both central and local governments.' This increase is both intensive and extensive.

Professor R.A Musgrave, the twentieth century economist, advocated public expenditure since a government is forced to do many activities such as 1) activities to secure a reallocation of resources 2) redistribution activities, 3) stabilizing activities and 4) commercial activities.

Governments constantly undertake new functions while they perform both old and new functions more efficiently and completely. In this way the economic needs of the people, to an increasing extent and in a satisfactory fashion are satisfied by the central and local governments.

The governments need income for the performance of their variety of functions and meeting their expenditure. We can discuss in detail the meaning of public revenue—income of the governments—the sources of public revenue and related concepts in the following paragraphs.

PUBLIC REVENUE

This is one of the branches of public finance. It deals with the various sources from which the state might derive its income. These sources include incomes from taxes, commercial revenues in the form of prices of goods and services supplied by public enterprises, administrative revenues in the form of fees, fines etc. and gifts and grants.

The income of government through all sources is known as public revenue or public income. Prof. Dalton defined public revenue in two senses – Narrow sense and broader sense.

a) Narrow sense: In the narrow sense, it includes income from taxes, prices of goods and services supplied by public sector under takings, revenue from administrative activities, such as fees, finesetc. **b) Wider sense:** It includes all the incomes of the governments during a given period of time, including public borrowing from individuals and banks and income from public enterprise it is known as public receipts.

Difference between Public revenue and Public receipts

Public revenue includes that income which is not subject to repayment by the government. Public receipts include all the income of the government including public borrowing and issue of new currency. In this way public revenue is a part of public receipts.

Public Receipts = Public revenue + Public borrowing + issue of new currency

SOURCES OF PUBLIC REVENUE

The sources of public revenue can be broadly classified in to two – Tax -source and non- tax source.

Taxes: Taxes are imposed by the government on the people and it is compulsory on the part of the citizens to pay taxes, without expecting a return.

Some definitions

Economists	Definitions
Professor Seligman	Tax is compulsory contribution from a person to the government to defray the expenses incurred in the common interests of all without reference to special benefits conferred
Professor Taylor	Taxes are compulsory payments to the governments without expectation of direct return to or benefit to the tax payer
Professor Charles F. Bastable	Tax is compulsory contribution of the wealth of a person for the service of public power
Professor Taussig	The essence of a tax, as distinguished from other charges by government, is the absence of a direct quid pro quo between the tax payer and the public authority

The revenue from taxes came from three main sources. viz; a) **Taxes on income** b) **Taxes on wealth and property** and c) **Taxes on commodities.**

Characteristics of a Tax

1. It is compulsory payments to the government from the citizen. Each individual irrespective of caste, colour or creed, of age or sex has to pay it. Refusal to pay it or delay in payment brings punishment.

2. It is imposes a personal obligation. It means that it is duty of tax payer to pay it and he should in no case think to evade it.

3. Absence of direct benefit or quid pro quo between the State and people. The tax payer do get many advantages from the public authorities but no tax payer can claim direct benefit as a matter of right on the ground that he is paying a tax.

4. It is payments for meeting the expenses in the common interest of all citizens. The governments have to provide public utility goods. For this the governments have to incur huge amounts of expenditure. Therefore, taxes are imposed on all citizens so that all may share a common burden.

5. Certain taxes are imposed on specific objectives for example, tax on petrol to reduce consumption and tax on luxuries so as to divert resources for the production of essential commodities.

6. There is no tax without representation. This means that proposals regarding taxes are to be sanctioned in respective assembly of elected representatives.

Non - Tax Revenue

a) Commercial Revenue. (Income from public property and enterprises)

b) Administrative Revenue (Fee, Fine, Special assessment)

c) Gifts and grants and

d) Others

Commercial Revenue: - Income earned by public enterprises by selling their goods and services. For example, Payments for postage, tolls, interest on borrowed funds etc. They are also known as prices because they come in the form of prices and goods and services provided by government.

Administrative Revenue

The receipts of incomes accrued on account of performing administrative functions by the government are called administrative revenue. The important items of administrative revenue are listed below.

Fees:"Fee is a payment to defray the cost of each recurring service under taken by the government in the public interest" – Prof.**Seligman.** Fees are payments imposed by the government. For Example, Court Fee, License Fee, Passport, Fee etc.

Fines and Penalties – Fines penalties are imposed on persons as a punishment for infringement of laws. They are imposed to prevent crime. Fines and penalties are arbitrarily determined.

Special assessments: -According to Prof. Seligman **"A special assessment is a compulsory contribution levied in proportion to the special benefit derived to defray the cost of specific improvement to property under taken in the public interest".** For example, when the government constructs a highway, the prices of plots on either side of it will naturally go up. There for, the land owners may be required to bear a part of expenses incurred by the government. Such charges are called as special assessments.

Gifts and grants: - In general gifts and grants are the payments made by one government to another for some specific functions for example, central grant to state government. Gifts are voluntary contribution made by the people to the government for some special purposes.

Other sources of Revenue:-Other sources of revenue are Forfeitures, Escheat, Issuing of currency and Borrowings

Forfeitures:-It is penalty imposed by the court for failure of individual to appear in the court to complete certain contract as stipulated.

Escheat: - Properties having no legal heirs or without will, that go to government are called Escheats.

Issue of Currency: - The printing of paper money yields income to the government.It is mean to create extra resources by the printing of paper money. It is normally avoided because if once this method of financing is started it becomes difficult to stop it. This further leads to inflation.

Borrowings: - This is another source of public revenue. That is through borrowings from the public in the shape of deposits bonds etc. It also includes external borrowings.

Objectives of Taxes

- **Raising Revenue**
- **Regulation of Consumption and Production**

- ➢ **Encouraging Domestic Industries**
- ➢ **Stimulating Investment**
- ➢ **Reducing Income Inequalities**
- ➢ **Promoting Economic Growth**
- ➢ **Development of Backward Regions**
- ➢ **Ensuring Price Stability**

Classification Taxation

Taxes are classified on different bases. Different bases adopted by the economists to classify taxes are the forms, nature, aims and methods of taxation. The various taxes may be classified under following major heads.

Classification of Taxes

Direct
- Proportional
- Progressive
- Consumption
- Regressive
- Degressive

Indirect
- Specific
- Ad Valorem
- Single
- Multiple

Other
- Income and Property
- Production and Capital goods
- Value Added Tax (VAT)
- MODVAT

Direct Taxes and Indirect Taxes

According to Dalton ' **A direct Tax is really paid by a person on whom it is legally imposed, while an indirect tax is imposed on one person, but paid partially or wholly by another, owing to consequential change in the terms of some contract or bargaining between them.'**

According to J S Mill, **'A direct tax is one, demanded from the very person who is intended or desired should pay it. Indirect taxes are those which are demanded from the one person in the expectation and intention that we shall identify him at the expenses of another'.**

According to Prest, "**The distinction between direct and indirect taxes is more commonly drawn by reference to the basis of assessment rather than the point of assessment.**"

Professor Antonio defines direct taxes as, "**Direct taxes strikes a citizen's income at the moment of its production.**"

In the words of Gladstone, "**The direct and indirect taxes are like two attractive sisters between whom an exchequer should be perfectly impartial.**"

According to P.E. Taylor, an authority on public finance, distinguished direct taxes and indirect taxes as follows," **The terms direct and indirect taxes are finally distinguishable in meaning only in terms of shiftability. Direct taxes are not shifted while indirect taxes are.**"

From the above we can reach in a conclusion that direct taxes are those which are paid by persons on whom these are imposed and the real burden is also borne by them.The burden of such taxes cannot be transferred or shifted to some other persons. That is, **in the case ofdirect taxesboth impact and incidence fall upon the same person.**

Indirect taxes are imposed on one person but are paid either partly or wholly by another. The person who pays the tax in the first instance, transfers its burden on the shoulders of another person. In other words,**an in the case of indirect tax, the impact and incidence of the tax fall on different persons.**

Examples of **direct taxes are income tax, wealth tax, corporation tax, gift tax etc. And examples of Indirect taxes are Sales tax, excise duty, VAT etc.**

MERITS OF DIRECT TAXES:

Following are the main merits of direct taxes.

1) Equity: direct taxes such as income taxes, taxes on property, capital gain taxes etc. are progressive in their nature. That is, higher incomes are taxed heavily and lower incomes are taxed lightly. Hence, direct taxes are based on ability to pay of the tax payer and they ensure the canon of equity.
2) Economy: The administrative cost of collecting the direct taxes is low. The tax payers directly pay the tax to the state. So there is not much waste of resources and time. That is, direct taxes satisfy the canon of economy.
3) Certainty: Another merit of direct tax is that it is certain. The tax payers know how much tax is to be paid, on what basis tax is paid to the government etc.

Thus, the tax payer is able to make adequate provision the payment of tax in advance. The government can also plan development activities since they can estimate the amount of revenue they receives in the form of taxes.

4) Elasticity and revenue generation: the yield from direct taxes increases as the country economically advances. The government gets more revenue through direct taxes automatically at higher rates.

5) Distributive justice: Since direct taxes are progressive in rates, tax rate increases as the income of individuals rises. The tax burden will heavily be on the richer sections of the society. The increased revenue through taxes is allocated for providing subsidized food, clothing and housing to the poor and needy people. This will bring about distributive justice in the country.

6) Civic consciousness: Direct taxes create civic consciousness among the tax payers. The tax payers will be vigilant in the utilization of the tax revenue and will see whether the resources are efficiently used and wastage is avoided.

7) Absence of leakages: since there is direct payment of taxes by tax payers to the government, there is no room for any wastage. The whole amount of direct taxes such as income taxes, property taxes, and taxes on capital gains etc., reaches the treasury without any middlemen.

DEMERITS OF DIRECT TAXES

The important demerits of the direct taxes are explained below.

1) Uncertainty: The precise degree on needed progression cannot be estimated on account of the difficulties of measuring the ability to pay and the subjective nature of the marginal utility of income.

2) Unpopularity: the direct taxes are directly imposed on individuals. They have to bear both the impact and incidence of these taxes. Thus they experience their pinch directly. Consequently, direct taxes are not as popular as indirect taxes.

3) Violation of the principle of equity: the burden of direct taxes falls almost exclusively on the richer sections of the society while the poorer section are totally exempted from these taxes. This is unjustified and improper because the burden of state expenditure should be borne by individuals at all levels of society according to their ability to pay.

4) Large scale evasion: direct tax is based on honesty. The tax is not evaded only when the tax payer is honest. It is a fact that the people in the higher income groups do not reveal their full income. It is remarked that "direct taxes are a premium on honesty."

MERITS OF INDIRECT TAXES

The following are the important merits of indirect taxes.

1) Convenience: Indirect taxes are more convenient to pay. It is paid at the time of purchase of a commodity. Hence, the tax payer does not feel the burden of tax. The tax is hidden in the price of the commodity bought. It is paid in small amount. The government can also collect it conveniently.

2) Indirect taxes lead to social welfare: indirect taxes on narcotics and intoxicants reduce the consumption of them which are harmful to health. Reduction in the consumption of such goods will indirectly increase the welfare of the people.

3) Indirect taxes are justified: indirect taxes are justifiable and equitable. They are paid by all the individuals and when they purchase goods and services.

4) Indirect taxes help production and investment: Another advantage of indirect taxes is that they perform as powerful tool in moulding the production and investment activities of the economy.

5) No evasion: Indirect taxes are generally difficult to be evaded as they are included in the price of the commodity. A person can evade an indirect tax only when he decides not to purchase the taxed commodity.

6) Highly revenue yielding in developing countries: direct taxes do not yield much income in developing countries, as the income of the people is very less. Since indirect taxes cover a large number of essential commodities to be consumed by both the rich and the poor in the country, large revenue could be collected.

DEMERITS OF INDIRECT TAXES

1) Indirect taxes promote inequality: Indirect taxes are generally imposed on the consumption goods. The poor people have to pay as much by way of indirect taxes on commodities as the rich people. This is unjust and equitable. They are regressive in nature which will promote economic inequality in society by imposing larger burden of taxes on the poor people.

2) Uneconomical: Indirect taxes involve high costs of collecting them. To raise desired levels of public revenue, taxes should be collected from millions of people.

3) Element of uncertainty: Indirect taxes are extremely uncertain. The revenue accrued to the government from indirect taxes cannot be estimated accurately. As soon as the tax is imposed, the price of the commodity is raised. This will in turn reduce the demand for the commodity. It cannot be estimated with certainty as to what extent the demand falls.

4) Lack of civic consciousness: Indirect taxes do not create civicconsciousness as the tax payers in most cases do not feel the burden of the tax they pay.

5) Indirect taxes promote inflation: another demerit of indirect taxes is that it promotes inflationary tendency in the economy, as they would increase the prices of the taxed goods.

6) Discourage saving: Indirect taxes discourage savings because they are included in the prices of commodities. Therefore, people have to spend more on the purchase of commodities. This will reduces the disposable income of the people and hence the savings.

Progressive, Proportional, Regressive and Degressive Taxes

A tax may be progressive, proportional, regressive or degressive according to the relationship between tax rate structure and tax revenue.

Progressive Tax:

A progressive tax is that in which the rate of the tax depends on change in income. That is, the rate of tax increases with the increase in the income. The higher the level of income, the higher the tax will be and vice- versa. (Table-1)

Table1. Progressive Tax Rates

Taxable income	Tax Rate%	Amount of tax
3000	10	300
4000	15	600
5000	20	1000
6000	25	1500

Proportional Taxes

A proportional tax is one in which the rate of tax remains the same irrespective of the level of income. Here, the same percentage of tax is levied on all income groups. The tax amount is simply calculated by multiplying the tax base with the tax rate. This is illustrated in Table 2.

Table 2

Proportional Tax Rates

Tax Base	Tax Rate %	Amount of tax
1000	10	100
2000	10	200
3000	10	300

Regressive Taxes

In regressive taxation,the higher the income of the tax payer, the smaller is the proportion of income he contributes to the government in the form of taxes. That is, in the regressive taxation, the tax rate declines as income increases. This type of taxation is against the objective of welfare state in modern time. (Table 3)

Table 3.Regressive Tax Rates

Tax Base in Rs.	Tax Rate %	Amount of tax in Rs.
1000	10	100
2000	8	160
3000	6	180

Degressive Taxes

Under this tax system, the tax is mildly progressive up to a certain limit. After that the tax may be charged at a flat rate. In other words, degressive tax system is a mixture of proportional as well as progressive tax system. In this, the higher income group people have to make little sacrifice in comparison with lower income group. (Table 4)

Table 4Degressive Tax Rates

Tax Base in Rs.	Tax Rate %	Amount of Tax in Rs.
1000	10	100
2000	12	240
3000	13	390
4000	13	520

SINGLE AND MULTIPLE TAXATION

Single tax refers to a system in which the taxes are levied only on one item or head of tax. It is only one kind of tax. It implies a tax on one thing. That is, one class of things or one class of people. This type of tax was advocated by economists from 17th to 19th century. Such a tax is collected at regular intervals, may be monthly or annually or any other shorter or longer duration. A single tax may be progressive, proportional or regressive.

3) Taxes should be imposed by the state in an equitable or just manner.

4) Taxes should be imposed to minimize the total sacrifice involved.

5) It emphasises welfare aspect not only of tax shares but also of expenditure.

Limitations of Ability to Pay Theory

1) Income is main determinant of ability.

2) The theory is based on some unrealistic assumptions like utility is quantifiable and interpersonal comparison of utility is possible.

3) Marginal utility of income is known and declines as income increases.

4) The theory is a vague theory. It does not have a comprehensive definition. The theory has three interpretations of equal sacrifice. One does not know which of the three equity rule is to be followed.

INDICES OF ABILITY TO PAY

To measure ability to pay, two important approaches are used by economists: (i) the subjective (equal sacrifice) approach and (ii) the objective (faculty) approach.

The Subjective Approach

This approach is based on the psychological or mental reactions of the tax payers. Each tax payer should make equal sacrifice, if tax burden is equally distributed. The equal sacrifice interpretation of ability to pay was originally put forward by J.S.Mill. According to him "Equality in taxation means equality in sacrifice." There are three concepts of equal sacrifice principle. They are (i) Equal Absolute Sacrifice (ii) Equal Proportionate Sacrifice and (iii) Equal Marginal Sacrifice.

Equal Absolute Sacrifice:

As per this principle, loss of utility should be equal to all tax payers. It means that rich people should pay higher taxes than the poor.

Equal Proportionate Sacrifice:

This implies that the loss of utility should be proportional to the total income of the tax payers. That is, higher income people should be taxed at a higher level than that of the poor. For each individual the ratio of utility lost to total utility should be equal.

Rate of tax= Sacrifice of A/Income of A =sacrifice of B/Income of B

Limitations

1) It is difficult to estimate the cost of all services. For example, defence.
2) It is against the welfare object of the governments. If cost is taken the basis of tax, the governments may not perform many functions which are very much desirable for the welfare of the society as a whole. E.g. Relief works during time of emergency, free medical and educational facilities etc.
3) It is against the very definition of tax. Tax is a compulsory contribution and there is no direct quid-pro-quo.
4) The cost of services rendered by governments to individuals is fixed arbitrarily which is not just.

IMPACT, INCIDENCE, AND SHIFTING OF TAXATION

In modern time there is large number of taxes. In order to understand the various social and economic effects of taxes it is very essential to discuss terms like impact, incidence and shifting.

When government imposes taxes, the amount should be paid by someone. In all the cases the tax burden should not be borne by the same persons on whom the taxes are imposed. To understand this in a better way we have to know two things—a) who pays the tax initially and b) who actually bears the tax burden. In short, a tax may be imposed on one person; the burden of the same may be transferred to a second person or transferred to others who ultimately bear the burden. This is explained in the theory of incidence. In order to understand the theory of incidence, it is very much essential to distinguish between impact, shifting and incidence.

IMPACT

According to Professor Seligman, "Impact is the initial phenomenon, shifting is the intermediate process and incidence is the result." Impact is otherwise called statutory tax incidence. It implies the burden of a tax borne by the person on whom it is imposed. (De jure tax payer- De Viti). In other words, impact refers to the immediate burden of a tax or the person who first bears the legal obligation of a tax.

SHIFTING

The process of transferring the burden of a tax from one person to another is called shifting. The producer may shift the tax burden to the wholesaler, the wholesaler to the retailers, and the retailers to the consumers etc. This is done through the changes in prices. This is a case of forward shifting. Forward shifting may be multi point or single point. The case explained above is an example of multi point shifting. When the tax burden is shifted by a producer to consumers directly it is a case of single point shifting. Shifting may also be backward. Backward shifting refers to shifting of tax burden to sellers by buyers. **Tax capitalization** is a particular case of backward shifting.

INCIDENCE

The final or ultimate money burden of a tax is called incidence. It is the money burden of a tax which is borne by the last person. That is, the incidence of a tax is the final resting place of it (De Facto tax payer- Di viti).

DISTINCTION BETWEEN IMPACT AND INCIDENCE

1) Impact refers to the initial burden of the tax, while the incidence is the ultimate burden of the tax.
2) Impact is at the point of imposition, while incidence is at the point of settlement.
3) The impact of a tax falls upon the person from whom the tax is collected and the incidence rests on the person who pays it eventually.
4) The impact may be shifted but the incidence cannot be shifted.

Effects and Incidence of Taxation

In economic analysis, incidence and effects are used to denote different connotations. As we have already discussed, incidence is the final money burden of a tax whereas effects of tax refer to the economic consequences of a tax on production, consumption, distribution, and exchange. The study of effects is broader than the study of incidence as taxes affect production, consumption, savings, investments, growth, regional balance, distribution of income and wealth and so on.

CONCEPTS OF TAX INCIDENCE

There are different concepts of tax incidence. The three important views on the concept of tax incidence are the following.

1) Dalton's Concept (Traditional Concept)
2) Mrs. Hicks' Concepts of Formal and Effective Incidence and
3) Musgrave's Concept of Incidence.

Dalton's Concept of Incidence

Prof. Hugh Dalton has distinguished between the direct and indirect burden as well as the money burden and real burden of the tax. According to him, "The

AUTHOR/ AGENCY	DEFINITION
Professor Dalton	Taxable capacity is a common phrase but a dim and confused concept.
Joshiah Stamp	Taxable capacity is the minimum amount which the citizen can pay to the public authoritieswithout having a really unhappy and downtrodden existence and without dislocating the economic organizations too much.
Findlay Shirras	Taxable capacity is the limit of squeezability. It is the total surplus of production over the minimum consumption required to produce that level of production, the standard of living remaining unchanged.
Indian Taxation Enquiry Commission-1954	Taxable capacity of the different sections of the community may be said to refer to the degree of taxation, broadly speaking, beyond which productive efforts and efficiency as a whole begin to suffer.

Determinant of Taxable Capacity

- National income and wealth
- Size of population
- Standard of living of the people
- Nature of public expenditure
- Psychological attitude of the people
- Stage of economic growth
- Trade cycles
- Political conditions
- Tax structure
- Fiscal, monetary and income policies of the governments
- Favourable balance of trade
- Inflow of foreign capital
- Technological progress
- Modernization of production pattern etc.

SOME CONCEPTS RELATED WITH TAXATION

1. **Tax Neutrality**: Tax should be imposed in such a manner that it should not influence the market decision of either satisfaction motivated consumers or profit motivated producers.
2. **Tax Rate Structure:** it describes the relationship between the tax collected during a given accounting period and the tax base.
3. **Tax Base:** The item or economic activity on which tax is imposed. For example, income, consumption, wealth etc.
4. **Excess Burden:** Excess burden or dead weight loss refers to the reduction in economic efficiency, below the level attainable with an optimal tax with no distorting effect.
5. **Buoyancy of Tax:** Buoyancy or administrative flexibility of tax refers to the total response of tax revenue to changes in tax base.
6. **Elasticity of taxation:** Elasticity of taxation refers to the ratio of percentage change in tax yield to percentage change in coverage or rate of taxation.
7. **LafferCurve or Revenue Rate Curve**: Laffer Curve or Revenue Rate Curve refers to the curve describing the relationship between tax revenue and tax rates. It is a graphical representation of the disincentives created by tax rate. It explains the inverse relationship between tax revenue and tax rates. It has an **Inverted U-Shape.**

EFFECTS OF TAXATION

We have already understood the meaning of incidence of taxation. It refers to the direct money burden of a tax. The ultimate influence of taxation on economic entities like production, consumption, distribution etc. is referred to as effects of taxation. In a wider perspective, taxation can serve as an instrument of fiscal policy in realizing socio-economic goals like price stabilization, regulation of consumption and production, checking fluctuations of booms and depression, promoting economic growth etc. However, the economic effects of taxation need not be always good, they can be bad also. Therefore, while formulating a tax policy, the government should take into consideration not only the revenue but also the economic consequences of taxation as well. According toProfessor Dalton **"The best system of taxation from the economic point of view is that which has the best or the least bad economic effects."** He discussed three types of economic effects of taxation. They are: i) The effects of taxation on production ii) Effects of taxation on distribution and iii) Other effects of taxation.

EFFECTS OF TXATION ON PRODUCTION

Budgeting and Budgetary Control

Introduction

Budgeting has come to be accepted as an efficient method of short-term planning and control. It is employed, no doubt, in large business houses, but even the small businesses are using it at least in some informal manner. Through the budgets, a business wants to know clearly as to what it proposes to do during an accounting period or a part thereof. The technique of budgeting is an important application of Management Accounting. Probably, the greatest aid to good management that has ever been devised is the use of budgets and budgetary control. It is a versatile tool and has helped managers cope with many problems including inflation.

DEFINITION OF BUDGET

The Chartered Institute of Management Accountants, England, defines a 'budget' as under:

" A financial and/or quantitative statement, prepared and approved prior to define period of time, of the policy to be persued during that period for the purpose of attaining a given objective."

According to Brown and Howard of Management Accountant "a budget is a predetermined statement of managerial policy during the given period which provides a standard for comparison with the results actually achieved."

Essentials of a Budget

An analysis of the above said definitions reveal the following essentials of a budget:

(1) It is prepared for a definite future period.

(2) It is a statement prepared prior to a defined period of time.

(3) The Budget is monetary and I or quantitative statement of policy.

(4) The Budget is a predetermined statement and its purpose is to attain a given objective.

A budget, therefore, be taken as a document which is closely related to both the managerial as well as accounting functions of an organization.

Forecast Vs Budget

Forecast is mainly concerned with an assessment of probable future events. Budget is a planned result that an enterprise aims to attain. Forecasting precedes preparation of a budget as it is an important part of the budgeting process. It is said that the budgetary process is more a test of forecasting skill than anything else. A budget is both a mechanism for profit planning and technique of operating cost control. In order to establish a budget it is essential to forecast various important variables like sales, selling prices, availability of materials, prices of materials, wage rates etc.

Difference between Forecast and Budget

Both budgets and forecasts refer to the anticipated actions and events. But still there are wide differences between budgets and forecasts as given below:

Forecasts

(1) Forecasts is mainly concerned with anticipated or probable events (2) Forecasts may cover for longer period or years (3) Forecast is only a tentative estimate (4) Forecast results in planning (5) The function of forecast ends with the forecast of likely events (6) Forecast usually covers a specific business function (7) Forecasting does not act as a tool of controlling measurement.

Budgets

(1) Budget is related to planned events

(2) Budget is planned or prepared for a shorter period (3) Budget is a target fixed for a periOd. (4) Result of planning is budgeting (5) The process of budget starts where forecast ends and converts it into a budget (6) Budget is prepared for the business as a whole (7) Purpose of budget is not merely a planning device but also a controlling tool.

BUDGETARY CONTROL

Budgetary Control is the process of establishment of budgets relating to various activities and comparing the budgeted figures with the actual performance for arriving at deviations, if any. Accordingly, there cannot be budgetary control without budgets. Budgetary Control is a system which uses budgets as a means of planning and controlling.

According to I.C.M.A. England Budgetary control is defined by Terminology as the establishment of budgets relating to the responsibilities of executives to the requirements of a policy and the continuous comparison of actual with the budgeted results, either to secure by individual actions the objectives of that policy or to provide a basis for its revision.

Brown and Howard defines budgetary control is "a system of controlling costs which includes the preparation of budgets, co-ordinating the department and establishing responsibilities, comparing actual performance with the budgeted and acting upon results to achieve maximum profitability."

The above definitions reveal the following essentials of budgetary control:

(1) Establishment of objectives for each function and section of the organization.

(2) Comparison of actual performance with budget.

(3) Ascertainment of the causes for such deviations of actual from the budgeted performance.

(4) Taking suitable corrective action from different available alternatives to achieve the desired objectives.

Objectives of Budgetary Control

Budgetary Control is planned to assist the management for policy formulation, planning, controlling and co-ordinating the general objectives of budgetary control and can be stated in the following ways:

(1) Planning: A budget is a plan of action. Budgeting ensures a detailed plan of action for a business over a period of time.

(2) Co-ordination: Budgetary control co-ordinates the various activities of the entity or organization and secure co-operation of all concerned towards the common goal.

(3) Control: Control is necessary to ensure that plans and objectives are being achieved. Control follows planning and co-ordination. No control performance is possible without predetermined standards. Thus, budgetary control makes control possible by continuous measures against predetermined targets. If there is any variation between the budgeted performance and the actual performance, the same is subject to analysis and corrective action.

Scope and Techniques of Standard Costing and Budgetary Control

Scope:

(1) Budgets are prepared for different functions of business such as production, sales etc. Actual results are compared with the budgets and control is exercised.

Standards on the other hand are complied by classifying, recording and allocation of the expenses to cost units. Actual costs are compared with standard costs.

(2) Budgets have a wide range of coverage of the entire organization. Each operation or process is divided into number of elements and standards are set for each such element.

(3) Budgetary control is concerned with origin of expenditure at functional levels.

Standard costing is concerned with the requirements of each element of cost.

(4) Budget is a projection of financial accounts whereas standard costing projects the cost accounts.

Technique:

(1) Budgetary control is exercised by putting budgets and actuals side by side.

Variances are not normally revealed in the accounts. Standard costing variances are revealed through accounts.

(2) Budgetary control system can be operated in parts. For example, Advertisement Budgets, Research and Development Budgets, etc. Standard costing is not put into operation in parts.

(3) Budgetary control of expenses is broad in nature whereas standard costing system is a far more technically improved system by means of which the variances are analysed in detail.

Requisites for Effective Budgetary Control

The following are the requisites for effective budgetary control :

(1) Clear cut objectives and goals should be well defined.

(2) The ultimate objective of realising maximum benefits should always be kept uppermost.

(3) There should be a budget manual which contains all details regarding plan and procedures for its execution. It should also specify the time table for budget preparation for approval, details about responsibility, cost centers etc.

(4) Budget committee should be set up for budget preparation and efficient execution of the plan.

(5) A budget should always be related to a specified time period.

(6) Support of top management is necessary in order to get the full support and co-operation of the system of budgetary control.

(7) To make budgetary control successful, there should be a proper delegation of authority and responsibility.

(8) Adequate accounting system is essential to make the budgeting successful.

(9) The employees should be properly educated about the benefits of budgeting system.

(10) The budgeting system should not cost more to operate than it is worth.

(11) Key factor or limiting factor, if any, should consider before preparation of budget.

(12) For budgetary control to be effective, proper periodic reporting system should be introduced.

Organization for Budgetary Control

In order to introduce budgetary control system, the following are essential to be considered for a sound and efficient organization. The important aspects to be considered are :

1. Organisation Chart

2. Budget Center

3. Budget Officer

4. Budget Committee

5. Budget Manual

6. Budget Period

7. Key Factor

(1) **Organisation Chart:** For the purpose of effective budgetary control, it is imperative on the part of each entity to have definite "plan of organization." This plan of organization is embodied in the organization chart. The organization chart explaining clearly the position of each executive's authority and responsibility of the firm. All the functional heads are entrusted with the responsibility of ensuring proper implementation of their respective departmental budgets. An organization chart for budgetary control is given showing clearly the type of budgets to be prepared by the functional heads.

A Budget Officer is the convener of the budget committee, who helps in co-ordination. The Purchase Manager, Production Manager, Sales Manager, Personnel Manager, Finance Manager and Account Manager are made responsible to prepare their budgets.

(2) **Budget Center:** A Budget Center is defined by the terminology as "a section of the organization of an undertaking defined for the purpose of budgetary control." For effective budgetary control budget centre or departments should be established for each of which budget will be set with the help of the head of the department concerned.

(3) **Budget Officer:** Budget Officer is usually some senior member of the accounting staff who controls the budgetary process. He does not prepare the budget himself, but facilitates and co-ordinates the budgeting activity. He assists the individual departmental heads and the budget committee, and ensures that their decisions are communicated to the appropriate people.

(4) **Budget Committee:** Budget Committee comprising of the Managing Director, the Production Manager, Sales Manager and Accountant. The main objectives of this committee are to agree on all departmental budgets, normal standard hours and allocations. In small concerns, the Budget Officer may co-ordinate the work for preparation and implementation of budgets. In

large-scale concern a budget committee is setup for preparation of budgets and execution of budgetary control.

(5) **Budget Manual:** A Budget Manual has been defined as "a document which set out the responsibilities of persons engaged in the routine of and the forms and records required for budgetary control." It contains all details regarding the plan and procedures for its execution. It also specifies the time table for budget preparation to approval, details about responsibility, cost centers, constitution and organization of budget committee, duties and responsibilities of budget officer.

(6) **Budget Period:** A budget is always related to specified time period. The budget period is the length of time for which a budget is prepared and employed. The period may depend upon the type of budget. There is no specific period as such. However, for the sake of convenience, the budget period may be fixed depending upon the following factors:

(a) Types of Business

(b) Types of Budget

(c) Nature of the demand of the product

(d) Length of trade cycle

(e) Economic factors

(f) Availability of accounting period

(g) Availability of finance

(h) Control operation

Advantages of Budgetary Control

The advantages of budgetary control may be summarized as follows :

(1) It facilitates reduction of cost.

(2) Budgetary control guides the management in planning and formulation of policies.

(3) Budgetary control facilitates effective co-ordination of activities of the various departments and functions by setting their limits and goals.

(4) It ensures maximization of profits through cost control and optimum utilization of resources.

(5) It evaluates for the continuous review of performance of different budget centers.

(6) It helps to the management efficient and economic production control.

(7) It facilitates corrective actions, whenever there is inefficiencies and weaknesses comparing actual performance with budget.

(8) It guides management in research and development.

(9) It ensures economy in working.

(10) It helps to adopt the principles of standard costing.

Limitations of Budgetary Control

Budgetary Control is an effective tool for management control. However, it has certain important limitations which are identified below:

(1) The budget plan is based on estimates and forecasting. Forecasting cannot be considered to be an exact science. If the budget plans are made on the basis of inaccurate forecasts then the budget progamme may not be accurate and ineffective.

(2) For reasons of uncertainty about future, and changing circumstances which may develop later on, budget may prove short or excess of actual requirements.

(3) Effective implementation of budgetary control depends upon willingness, co-operation and understanding among people reasonable for execution. Lack of co-operation leads to inefficient performance.

(4) The system does not substitute for management. It is mere like a management tool.

(5) Budgeting may be cumbersome and time consuming process.

Types of Budgets

As budgets serve different purposes, different types of budgets have been developed. The following are the different classification of budgets developed on the basis of time, functions, and flexibility or capacity.

(A) **Classification on the basis of Time:**

1. Long-Term Budgets

2. Short-Term Budgets

3. Current Budgets

(B) **Classification according to Functions:**

1. Functional or Subsidiary Budgets

2. Master Budgets

(C) **Classification on the basis of Capacity :**

1. Fixed Budgets

2. Flexible Budgets

The following chart can explain this more:

Types of Budget t

Long-Term Short-Term Budget Budget

Current Budget

(A) **Classification on the Basis of Time**

Functional Budget

Master Budget Fixed Budget

Flexible Budget

1. **Long-Term Budgets**: Long-term budgets are prepared for a longer period varies between five to ten years. It is usually developed by the top level management. These budgets summarise the general plan of operations and its expected consequences. Long-Term Budgets are prepared for important activities like composition of its capital expenditure, new product development and research, long-term finance etc.

2. **Short-Term Budgets**: These budgets are usually prepared for a period of one year. Sometimes they may be prepared for shorter period as for quarterly or half yearly. The scope of budgeting activity may vary considerably among different organization.

3. **Current Budgets**: Current budgets are prepared for the current operations of the business. The planning period of a budget generally in months or weeks. As per ICMA London, "Current budget is a budget which is established for use over a short period of time and related to current conditions."

(B) **Classification on the Basis of Function**

1. **Functional Budget:** The functional budget is one which relates to any of the functions of an organization. The number of functional budgets depend upon the size and nature of business. The following are the commonly used:

(1) Sales Budget (2) Purchase Budget

(3) Production Budget

(4) Selling and Distribution Cost Budget

(5) Labour Cost Budget

(6) Cash Budget

(7) Capital Expenditure Budget

2. **Master Budget:** The Master Budget is a summary budget. This budget encompasses all the functional activities into one harmonious unit. The ICMA England defines a Master Budget as the summary budget incorporating its functional budgets, which is finally approved, adopted and employed.

(C) **Classification on the Basis of Capacity**

1. **Fixed Budget:** A fixed budget is designed to remain unchanged irrespective of the level of activity actually attained.

2. **Flexible Budget:** A flexible budget is a budget which is designed to change in accordance with the various level of activity actually attained. The flexible budget also called as Variable Budget or Sliding Scale Budget, takes both fixed, variable and semi fixed manufacturing costs into account.

SOME IMPORTANT BUDGETS

Fixed Budget

A budget is drawn for a particular level of activity is called fixed budget. According to ICWA London "Fixed budget is a budget which is designed to remain unchanged irrespective of the level of activity actually attained." Fixed budget is usually prepared before the beginning of the financial year. This type of budget is not going to highlight the cost variances due to the difference in the levels of activity. Fixed Budgets are suitable under static conditions.

Flexible Budget

Flexible Budget is also called Variable or Sliding Scale budget, "takes both the fixed and manufacturing costs into account. Flexible budget is the opposite of static budget showing the expected cost at a single level of activity. According to ICMA, England defined Flexible Budget is a budget which is designed to change in accordance with the level of activity actually attained."

According to the principles that guide the preparation of the flexible budget a series of fixed budgets are drawn for different levels of activity. A flexible budget often shows the budgeted expenses against each item of cost corresponding to the different levels of activity. This budget has come into use for solving the problems caused by the application of the fixed budget.

Advantages of Flexible Budget

(1) In flexible budget, all possible volume of output or level of activity can be covered.

(2) Overhead costs are analysed into fixed variable and semi-variable costs.

(3) Expenditure can be forecasted at different levels of activity.

(4) It facilitates at all times related factor can be compared. which are essential for intelligent decision making.

(5) A flexible budget can be prepared with standard costing or without standard costing depending upon What the Company opts for.

(6) Flexible budget facilitates ascertainment of costs at different levels of activity, price fixation, placing tenders and Quotations.

(7) It helps in assessing the performance of all departmental heads as the same can be judged by terms of the level of activity attained by the business.

Distinction between Fixed Budget and Flexible Budget

Fixed Budget	**Flexible Budget**
1. It does not change with the volume of activity.	1. It can be recast on the basis of volume of cost.
2. All costs are related to one level of activity only.	2. Costs are analysed by behaviour and variable costs are allowed as per activity attained.
3. If budget and actual activity levels vary, cost ascertainment does not provide a correct picture.	3. Flexible budgeting helps in fixation of selling price at different levels of activity.
4. Ascertainment of costs is not possible in fixed cost.	4. Costs can be easily ascertained at different levels of activity.
5. It has a limited application for cost control.	5. It has more application and can be used as a tool for effective cost control.
6. It is rigid budget and drawn on the	

assumption that conditions would remain constant.	6. It is designed to change according to changed conditions.
7. Comparison of actual and budgeted performance cannot be done correctly because the volume of production differs.	7. Comparisons are realistic according to the change in the level of activity.
8. Costs are not classified according to their variability.	8. Costs are classified according to the nature of their i.e .• fixed. variable and semi-variable. variability.

Method of Preparing Flexible Budget

The following methods are used in preparing a flexible budget:

(1) Multi-Activity Method.

(2) Ratio Method.

(3) Charting Method.

(1) **Multi-Activity Method:** This method involves preparing a budget in response to different level of activity. The different level of activity or capacity levels are shown in Horizontal Columns, and the budgeted figures against such levels are placed in the Vertical Columns. The expenses involved in production as per budget are grouped as fixed, variable and semi variable.

(2) **Ratio Method:** According to this method, the budget is prepared first showing the expected normal level of activity and the estimated variable cost per unit at the side expected level of activity in addition to the fixed cost as estimated. Therefore, the expenses as per budget, allowed for a particular level of activity attained, will be calculated on the basis of the following formula : Budgeted fixed cost + (Variable cost per unit of activity x Actual unit of activity)

(3) **Charting Method:** Under this method total expenses required for any level of activity, are estimated having classified into three categories, viz., Variable. Semi Variable and Fixed. These figures are plotted on a graph. The expenses are plotted on the Y-axis and the level of activity are plotted on X-axis. The graph will thus, help in ascertaining the quantum of budgeted expenses corresponding to the level of activity attained with the help of this chart.

Zero Base Budgeting (ZBB)

Zero Base Budgeting is a new technique of budgeting. It is designed to meet the needs of the management in order to ensure the operational efficiency and effective utilization of the allocated resources of a concern. This technique was originally developed by Peter A. Phyhrr, Manager of Taxas Instrument during 1969. This concept is widely used in USA for controlling their state expenditure when Mr. Jimmy Carter was the president of the USA. At present the technique has for its global recognition for many countries have implemented in real terms.

According to Peter A. Phyhrr ZBB is defined as an "Operative Planning and Budgeting Process" which requires each Manager to justify his entire budget in detail from Scratch (hence zero base) and shifts the burden of proof to each Manager to justify why we should spend any money at all."

In zero-base budgeting, a manager at all levels have to justify the importance of activity and to allocate the resources on priority basis.

Important Aspects of ZBB

Zero Base Budgeting involves the following important aspects:

(1) It emphasises on all requisites of budgets.

(2) Evaluation on the basis of decision packages and systematic analysis, i.e., in view of cost benefit analysis.

(3) Planning the activities, promotes operationai efficiency and monitors the performance to achieve the objectives.

Steps Involved in ZBB

The following are the steps involved in Zero Base Budgeting:

(1) No Previous year performance of inefficiencies are to be taken as adjustments in subsequent year.

(2) Identification of activities in decision packages.

(3) Determination of budgeting objectives to be attained.

(4) Extent to which Zero Base Budgeting is to be applied.

(5) Evaluation of current and proposed expenditure and placing them in order of priority.

(6) Assignment of task and allotment of sources on the basis of cost benefit comparison.

(7) Review process of each activity examined afresh.

(8) Weightage should be given for alternative course of actions.

Advantages of ZBB

(1) Utilization of resources at a maximum level.

(2) It serves as a tool of management in formulating production planning.

(3) It facilitates effective cost control.

(4) It helps to identify the uneconomical activities.

(5) It ensures the proper allocation of scarce resources on priority basis.

(6) It helps to measure the operational inefficiencies and to take the corrective actions.

(7) It ensures the principles of Management by Objectives.

(8) It facilitates Co-operation and Co-ordination among all levels of management.

(9) It ensures each activity is thoroughly examined on the basis of cost benefit analysis.